

EXPORT PROMOTION CAPITAL GOODS (EPCG) SCHEME

Covered under the Foreign Trade Policy, the EPCG Scheme facilitates the import of capital goods for pre-production, production, and post-production at **zero customs duty**, conditional upon fulfilling a structured export obligation.

QUANTUM OF ASSISTANCE & EXPORT OBLIGATION STRUCTURE

Obligation Parameter	Requirement / Rate	Timeframe / Conditions
Customs Duty Benefit	Zero Customs Duty on Capital Goods	Pre, production & post-production import
Export Obligation (EO)	6 times the duty saved	Over 6 Years (50% in yrs 1-4, 50% in yrs 5-6)
Green Technology Reduction	25% reduction in Export Obligation	For green technology product exports
Condonation Provision	Redemption of authorization	If 75%+ specific EO & 100% average EO met in <= half time

ELIGIBLE ENTITIES & SCOPE

- **Eligible Beneficiaries:** Manufacturers, merchant exporters tied to supporting manufacturers, and service providers.
- **Eligible Imports:** New or second-hand capital goods, spares, jigs, fixtures, dies, and moulds.
- **Filing Protocol:** Applications must be submitted to the Regional Authority (RA) via ANF 5A form, supported by a nexus certificate from a Chartered Engineer.

ROLE OF BARKAT & CO.

Barkat & Co. manages complete execution—verifying capital goods nexus, compiling ANF 5A documentation, navigating DGFT Regional Authority filings, and ensuring full export obligation fulfillment and redemption.

FREQUENTLY ASKED QUESTIONS (FAQS)

1. What is the core benefit of the EPCG Scheme?

Import of capital goods at zero customs duty, subject to an export obligation equal to 6 times the duty saved over 6 years.

2. How is the export obligation structured?

50% must be fulfilled within the first 4 years, and the remaining 50% in the subsequent 2 years.

3. Who is eligible to apply?

Manufacturers, merchant exporters with supporting manufacturers, and service providers.

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